

Definition of Money

Alex Glandon

December 2025

We can establish relative utility.

Theory of Games and Economic Behavior - Von Neumann

Suppose you value tea more than coffee, and you value coffee more than milk. I can compare the difference in value that you assign to tea and coffee Δ_{TC} and the difference in value that you assign to coffee and milk Δ_{CM} .

I can ask you if you would rather have a guaranteed coffee or if you would rather have a 50% chance of tea and a 50% chance of milk.

If you want coffee, you think Δ_{TC} is less than Δ_{CM} .

If you want the 50/50 deal, you think Δ_{TC} is greater than Δ_{CM} .